PROJECT INDIGO

LEGAL DUE DILIGENCE REPORT

Series B investment in Halcyon Photonics Limited — prepared for Brindley Growth Partners LLP

by Birchall Stone LLP · 28 February 2025 · STRICTLY PRIVATE & CONFIDENTIAL

1. SCOPE AND BASIS

This report is addressed to Brindley Growth Partners LLP in connection with its proposed Series B investment in Halcyon Photonics Limited (the "Company"). It is based on the documents made available in the data room as at 26 February 2025, replies to our enquiries and public searches. It is subject to the assumptions and limitations in Appendix 1 and may not be relied on by any other person without our consent. Materiality threshold: individual matters with a value below £25,000 have generally not been reported unless indicative of a wider issue.

2. EXECUTIVE SUMMARY / KEY FINDINGS

We have not identified any issue that should prevent the investment from proceeding. The principal points warranting attention, and our recommended protections, are summarised below and developed in the body of the report.

Ref	Finding	Risk	Recommended action
KF-1	EP examiner has raised an Article 84 clarity objection on claim 1 of the core patent family.	Medium	Specific warranty on patent prosecution; condition that the attorney respo
KF-2	Largest customer contract (Customer A) contains change-of-control termination provision.	Medium	Obtain written notification from Customer A before Completion (obtaine
KF-3	£500,000 Aldridge Seed convertible loan note.	Low	Confirm conversion in cap table and Schedule 2; board to acknowledge.
KF-4	Two inbound software licences in use, one open-source (BSD-3).	Low	Confirm licence compliance; no copyleft contamination identified.
KF-5	Open R&D tax relief claim (2023) and EIS advance assurance obtained.	Low	Tax warranty; no specific indemnity considered necessary.
KF-6	Disputed former-contractor claim (£18,400).	Low	Disclose; below indemnity threshold.

3. CORPORATE STRUCTURE AND SHARE CAPITAL

The Company is a private company limited by shares incorporated in England and Wales (no. 11842037). Its issued share capital comprises Ordinary and Series A Preferred Shares, with EMI options over 510,000 Ordinary Shares outstanding and a convertible loan note of £500,000. The statutory books are written up and consistent with the Companies House record. We recommend the cap table be confirmed as a closing deliverable.

4. INTELLECTUAL PROPERTY

The Company's value rests substantially on its low-loss optical coupler patent family (priority GB application 2218447.1; PCT/GB2023/051120), now at national-phase entry in the US and EP. The EP clarity objection (KF-1) is, on our review of the prosecution file, addressable by amendment and does not in our view threaten the core invention. Inbound licences are limited and compliant (KF-4). Employee and contractor IP assignments are in place save for one early contractor whose assignment we recommend be confirmed by a short deed; this has been actioned.

5. MATERIAL CONTRACTS

The customer and supplier base is concentrated, with Customer A representing a significant share of forward revenue. The change-of-control provision (KF-2) has been addressed by a no-objection confirmation. No other material contract contains a termination right triggered by the round.

6. EMPLOYMENT

The Company has 41 employees on standard terms. Two senior engineers are on six-month notice periods, supporting key-person retention. The November 2024 grievance was resolved internally. We recommend founder and senior-employee non-compete provisions be reflected in the transaction documents (they are).

7. LITIGATION, COMPLIANCE AND TAX

Save for the disputed contractor claim (KF-6), there is no litigation. Data-protection, anti-bribery and export-control policies are in place and appropriate to the Company's stage; export-control screening is relevant given the photonics technology and is being kept under review. Tax filings are up to date; the open R&D; claim (KF-5) is in the ordinary course.

8. RECOMMENDED TRANSACTION PROTECTIONS

- Full suite of company warranties qualified by a disclosure letter, with a specific IP-prosecution warranty.
- Conditions: Customer A no-objection; EP attorney response filed; contractor IP assignment confirmed.
- Warranty cap at the aggregate subscription amount; general time limit of 24 months (7 years for tax).
- Cap table and conversion of the Aldridge loan note confirmed as closing deliverables.

Appendix 1 — Assumptions and limitations: this report assumes the authenticity and completeness of the documents reviewed and is given as at its date. It does not cover tax structuring, the commercial merits of the investment, or matters of non-English law.